



HARBORLINE
INSURANCE
COMPANY

Cyber Protection Policy Application

New business and renewal · Small and mid-sized businesses
Form HIC-CY-APP (10/26)

SPECIMEN — completed sample for illustration only. Harborline Insurance Company and the applicant below are fictional.

BEFORE YOU START

- This is an application for a policy whose liability coverages are **claims-made and reported**. Completing it does not bind coverage.
- Answer every question. Your answers to questions marked **CREDIT** set the security credits in Item 7 of your Declarations: a lower retention, no ransomware coinsurance and a full fraud limit.
- If an IT provider manages your systems, ask them to help with Section 5. It takes about 20 minutes.
- Tags such as **PR.AA** show which NIST Cybersecurity Framework 2.0 category each security question relates to.

1 APPLICANT INFORMATION

Legal name of applicant	Cedar Ridge Accounting Group, LLC		
Principal address	1450 Market Street, Suite 600, Denver, CO 80202		
Other locations	1919 14th Street, Suite 300, Boulder, CO 80302 (satellite office, 9 staff)		
Website and email domains	cedarridgecpa.com	Main phone	(303) 555-0100
Entity type	Limited liability company	Year established	2009
FEIN	XX-XXX4417	NAICS code	541211 (Offices of CPAs)
Primary contact	Dana Whitfield, CPA, Managing Partner	Email / phone	dana.whitfield@cedarridgecpa.com (303) 555-0187
IT / security contact	Marcus Lee, Operations & IT Manager	IT provider (MSP)	Summit Peak Technology Partners Priya Raman, vCIO · (303) 555-0164
Subsidiaries to be insured	None		

2 BUSINESS OPERATIONS AND REVENUE

Description of operations	CPA firm providing individual and business tax preparation and planning (48% of revenue), audit and assurance (22%), outsourced bookkeeping and accounting (18%) and advisory / fractional CFO services (12%) to about 2,100 clients (1,450 individuals and families, 650 businesses), mainly in Colorado.		
Employees	52 (46 full-time, 6 seasonal)		Owners / partners 5
Annual revenue	LAST COMPLETED FISCAL YEAR (2025)	CURRENT YEAR, PROJECTED (2026)	NEXT YEAR, PROJECTED (2027)
	\$11,400,000	\$12,600,000	\$13,300,000
Revenue by location	Colorado 94% · Other U.S. states 6% · Outside the U.S. 0%		
Seasonality	About 45% of annual revenue is earned February 1 – April 30, with a second peak before October 15 extension deadlines.		

3 COVERAGE REQUESTED

Requested effective date	October 15, 2026	New or renewal	☒ New ☐ Renewal
Policy aggregate limit	☒ \$1,000,000 ☐ \$2,000,000 ☐ \$3,000,000 ☐ \$5,000,000		

Optional coverages	OPTIONAL COVERAGE		REQUESTED?
	M	System Failure Business Interruption	☐ Yes ☒ No
	N	Computer Replacement (Bricking), \$100,000	☒ Yes ☐ No
	O	Reputational Harm	☐ Yes ☒ No
	P	Cryptojacking and Telecom Fraud, \$50,000	☒ Yes ☐ No
	Q	Website Tracking Liability	☐ Yes ☒ No
	R	Increased Fraud Limit (\$500,000)	☐ Yes ☒ No
Prior acts coverage	Full prior acts requested. We have not had a standalone cyber policy before (see Section 8).		

4 DATA YOU HOLD AND PRIVACY PRACTICES

Individuals whose personal information you hold	About 14,200 (current and former clients and their dependents, and current and former employees)		
TYPE OF RECORD	HELD?	APPROX. NUMBER	WHERE IT IS STORED
Social Security or taxpayer ID numbers	☒ Yes ☐ No	13,600	Cloud tax and practice-management platform; Microsoft 365
Bank or financial account numbers	☒ Yes ☐ No	6,400	Tax platform (refund and payment details)
Driver's license or passport copies	☒ Yes ☐ No	3,000	Client portal (identity verification)
Health information	☒ Yes ☐ No	2,000	Tax records only (medical expenses, HSA)
Payment card data stored or processed on your systems	☐ Yes ☒ No	0 stored	Clients pay through a third-party hosted payment page (about 1,300 card payments a year)
Biometric information	☐ Yes ☒ No	—	—
4.1	Do you have a written information security plan (WISP), as the FTC Safeguards Rule requires for tax preparers? GV.PO		☒ Yes ☐ No
	Updated March 2026; reviewed annually with our MSP.		
4.2	Is full-disk encryption enabled on all laptops and desktops? PR.DS		☒ Yes ☐ No
4.3	Do you exchange sensitive documents with clients only through a secure portal or encrypted email? PR.DS		☒ Yes ☐ No
4.4	Do you have a data retention and destruction policy? PR.DS		☒ Yes ☐ No
	7 years after engagement ends, then secure deletion.		
4.5	Does your website use advertising pixels, session replay, chat tools or other tracking technology (other than basic analytics)?		☐ Yes ☒ No
	Google Analytics 4 only, with a cookie consent banner.		
4.6	Do you sell, rent or share personal information with third parties for their own marketing?		☐ Yes ☒ No
4.7	If you accept payment cards, have you completed a PCI DSS self-assessment in the last 12 months?		☒ Yes ☐ No
	SAQ A, completed February 2026.		

5 SECURITY CONTROLS

Answer "Yes" only if the control is in place today for all users and systems described. If a control is partly in place, answer "No" and explain.

5.1	Is multi-factor authentication (MFA) required for: CREDIT PR.AA	
	(a) email, for all users?	☒ Yes ☐ No
	(b) all remote access to your network?	☒ Yes ☐ No
	(c) all administrator and privileged accounts?	☒ Yes ☐ No
	(d) cloud applications holding client data, online banking and the backup console? Microsoft Entra conditional access; authenticator app with number matching for staff, hardware security keys for the 3 admin accounts. No remote desktop (RDP) open to the internet.	☒ Yes ☐ No
5.2	Is endpoint detection and response (EDR) installed on all laptops, desktops and servers? CREDIT DE.CM Microsoft Defender for Business on 58 of 58 devices.	☒ Yes ☐ No
5.3	Are security alerts monitored 24/7 by a managed detection and response (MDR) service or security operations center? CREDIT DE.CM Our MSP reviews alerts 7 a.m.–7 p.m. on weekdays (extended hours in tax season). We are pricing a 24/7 MDR service for 2027.	☐ Yes ☒ No
5.4	Do you use advanced email filtering, flag external emails, and enforce DMARC at "quarantine" or "reject"? PR.PS	☒ Yes ☐ No
5.5	Are critical security patches applied within 14 days, and is all software in use still supported by its vendor? PR.PS Critical patches within 7 days on endpoints, 14 days on network devices. No end-of-life systems.	☒ Yes ☐ No
5.6	Do staff work without local administrator rights, with separate accounts for administrative tasks? PR.AA	☒ Yes ☐ No
5.7	Backups: CREDIT RC.RP	
	(a) Are critical data and systems backed up at least weekly?	☒ Yes ☐ No
	(b) Is at least one copy offline or immutable (it cannot be changed or deleted)?	☒ Yes ☐ No
	(c) Are backups protected by separate credentials and MFA?	☒ Yes ☐ No
	(d) Have you successfully tested restoring from backup in the last 12 months? Daily immutable cloud backups of Microsoft 365 and tax platform exports, plus a weekly offline copy. Full restore test on June 12, 2026: SharePoint library and practice-management export restored in 5.5 hours.	☒ Yes ☐ No
5.8	Do all staff complete security awareness training at least annually, with phishing simulations? PR.AT Annual training, monthly simulations. Click rate last quarter: 3.8%.	☒ Yes ☐ No
5.9	Do you have a written incident response plan that has been tested in the last 12 months? RS.MA Plan updated and tabletop exercise held with our MSP in January 2026.	☒ Yes ☐ No
5.10	Do you keep an inventory of hardware, software and cloud services? ID.AM	☒ Yes ☐ No
5.11	Do you review the security of key technology vendors (for example SOC 2 reports) at least annually? GV.SC	☒ Yes ☐ No

6 PAYMENTS AND FRAUD CONTROLS

6.1	Do you send wire or ACH payments? About 45 outbound payments a month. Largest single payment in the last 12 months: \$62,400 (office lease).	☒ Yes ☐ No
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6.2	Before paying a new payee, or changing any payee's bank details, do you always confirm the request by calling a phone number you already had on file (not one in the request)? CREDIT PR.AA Written procedure since March 2024. Staff record each verification in the payment file.	☒ Yes ☐ No
6.3	Do payments over \$10,000 need approval from two people?	☒ Yes ☐ No
6.4	Do you use positive pay or ACH debit blocks with your bank?	☒ Yes ☐ No
6.5	Do you hold, move or have signing authority over client funds?	☐ Yes ☒ No
6.6	Do your invoices tell clients that your bank details will never change by email?	☒ Yes ☐ No

7 TECHNOLOGY PROVIDERS AND BUSINESS CONTINUITY

PROVIDER OR SERVICE YOU DEPEND ON	TYPE	WRITTEN CONTRACT?	HOW LONG COULD YOU OPERATE WITHOUT IT?
Microsoft 365 (email, files)	SaaS	☒ Yes ☐ No	Less than 1 day
Cloud tax preparation and practice-management platform	SaaS	☒ Yes ☐ No	4 hours in tax season; 1 day otherwise
Secure client portal	SaaS	☒ Yes ☐ No	2–3 days
Summit Peak Technology Partners (network, devices, help desk)	Managed IT	☒ Yes ☐ No	1 week
Cloud backup provider	SaaS	☒ Yes ☐ No	1 week
7.1	Could your staff keep working (for example remotely, on company laptops) if your office network were unavailable? RC.RP	☒ Yes ☐ No	
7.2	Estimated revenue lost for each business day your systems are fully down: About \$90,000 in tax season (February–April); about \$36,000 at other times.		

8 PRIOR INSURANCE, INCIDENTS AND CLAIMS

8.1	Do you currently have cyber insurance? No standalone cyber policy. Our businessowners policy includes a \$50,000 data compromise endorsement, expiring October 15, 2026. We will remove it when this policy starts.	☒ Yes ☐ No
8.2	In the last 3 years, has any insurer declined, cancelled or refused to renew cyber insurance for you?	☐ Yes ☒ No
8.3	In the last 5 years, have you had any data breach, ransomware attack, extortion demand, fraudulent payment, or attempt at any of these? If yes, describe it in 8.4.	☒ Yes ☐ No
8.4	Details: March 2024, attempted business email compromise with no loss. A fraudster spoofed a client's email domain and asked our bookkeeper to change that client's vendor bank details. The bookkeeper called the client on the number on file, the request was confirmed as fraud, and no payment was made. No data was accessed. Afterward we moved DMARC to "quarantine," formalized our callback procedure (6.2) and made phishing simulations monthly.	
8.5	In the last 5 years, has anyone made a claim, lawsuit or regulatory inquiry against you about privacy, data security or online content?	☐ Yes ☒ No
8.6	After reasonable inquiry, is any partner, officer or IT manager aware of any fact or circumstance that could lead to a claim or loss under the proposed policy?	☐ Yes ☒ No

9 DOCUMENTS ATTACHED

☒ MFA conditional access policy export (5.1)	☒ Backup restore test report, June 12, 2026 (5.7)
☒ EDR device coverage report, 58 of 58 devices (5.2)	☒ Callback verification procedure, March 2024 (6.2)
☒ PCI DSS SAQ A, February 2026 (4.7)	☐ Written information security plan (available on request)

10 DECLARATION AND SIGNATURE

By signing, I confirm on behalf of the applicant that:

- I am authorized to sign for the applicant, and I made reasonable inquiry of its partners, officers and IT provider before answering.
- The statements in this application and its attachments are true and complete to the best of my knowledge.
- I will tell Harborline promptly if any answer changes materially before the policy starts. Harborline may change or withdraw its quote if that happens.
- This application will form part of the policy if one is issued, and Harborline will rely on it. Harborline may verify my answers, including by scanning our internet-facing systems.

Fraud warning (all states). Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime and may subject that person to criminal and civil penalties.

Colorado. It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

	<u>Dana Whitfield, CPA</u>	<u>Managing Partner</u>	<u>September 24, 2026</u>
Signature of authorized officer	Printed name	Title	Date

I HOW YOUR ANSWERS AFFECT YOUR POLICY

For information. This is how Harborline turns the answers above into the terms shown in your Declarations.

YOUR ANSWER	EFFECT ON YOUR POLICY	DECLARATIONS
5.1 and 5.2 all "Yes"	Retention cut from \$10,000 to \$5,000, plus a 10% premium credit	Items 3, 5 and 7
5.7 all "Yes"	No ransomware coinsurance (otherwise you pay 20% of ransomware losses)	Item 7; policy Section IV.H
6.2 "Yes"	Coverage H at the full \$250,000 (otherwise \$100,000)	Items 6 and 7
5.3 "Yes"	Business interruption waiting period cut from 8 to 4 hours	Items 6 and 7
4.5 "Yes"	We recommend optional Coverage Q (website tracking liability)	Item 6, Part 2
Section 2 revenue	Sets your standard retention band and base premium	Items 3 and 5

If a credited control stops being in place, your policy does not become void. For an incident that happens while it is missing, the terms revert to what they would have been without the credit (policy Section IV.G).

FOR HARBORLINE USE ONLY · UNDERWRITING SUMMARY

Reviewed	J. Okafor, Underwriter · September 30, 2026
Revenue band	\$5M–\$25M (2026 projected \$12.6M) · standard retention \$10,000
Security credits verified	✓ MFA + EDR (conditional access export; 58/58 devices) ✓ Backups (restore test 06/12/2026) ✓ Callback procedure ✗ 24/7 MDR
Result	Retention \$5,000 · no ransomware coinsurance · Coverage H at \$250,000 · waiting period 8 hours
Premium	Base \$6,120 (includes optional N and P) · security credit –10% (–\$612) · total \$5,508
Decision	Approved. Issue policy HIC-CY-2026-004817, effective October 15, 2026. Note for renewal: offer 4-hour waiting period if 24/7 MDR is in place.